MINISTRY OF EDUCATION, SINGAPORE
in collaboration with
CAMBRIDGE ASSESSMENT INTERNATIONAL EDUCATION
General Certificate of Education Advanced Level
Higher 2

ECONOMICS

9570/02

Paper 2 Essays

October/November 2024

2 hours 30 minutes

No Additional Materials are required.

READ THESE INSTRUCTIONS FIRST

An answer booklet will be provided with this question paper. You should follow the instructions on the front cover of the answer booklet. If you need additional answer paper ask the invigilator for a continuation booklet.

Answer **three** questions in total, of which **one** must be from Section A, **one** from Section B and **one** from **either** Section A or Section B.

The number of marks is given in brackets [ ] at the end of each question or part question.

Answer **three** questions in total.

Section A

One or two of your three chosen questions must be from this section.

1 Some firms charge a different price to different groups of consumers for the same product. These differences in price are not related to cost differences.

(a) Using examples, explain why a firm is able to charge a different price to different groups of consumers for the same product. [10]

(b) Discuss whether the gains outweigh the losses to consumers and producers from this type of pricing strategy. [15]

2 A large increase in the price of chicken feed resulted in the average retail price of eggs rising to S$3.25 per ten eggs in Singapore in November 2022. This was a 26% increase on the previous year. As eggs are a major ingredient in the production of many food products, this will have caused a large rise in the costs of production.

Source: Rene Salinas, Tridge, Singapore Chicken Egg Prices Climbed to Their Highest Level in Over Ten Years in Late 2022, January 2023

(a) Explain the likely impact of this rise in price of eggs on household expenditure and on consumer surplus. [10]

(b) Discuss the impact of a rise in egg prices on profits of a food producer and whether this is likely to cause the food producer to shut down. [15]

3 Asymmetric information is present in the market for many different products. There are several strategies that firms could undertake to avoid the adverse consequences of asymmetric information. These markets might also benefit from government intervention.

(a) Explain, with examples, how asymmetric information can lead to adverse selection and moral hazard. [10]

(b) Discuss whether it is necessary for governments to intervene in markets with asymmetric information. [15]

Section B

One or two of your three chosen questions must be from this section.

4 'It is estimated that the United States (US) government's spending plans will add a cumulative 5.3 per cent to the level of Gross Domestic Product (GDP) in the US during 2022 to 2024.'

Source: Andrew Hodge and Li Lin, IMF News, *1 July 2021*

(a) Explain how an increase in government spending can cause changes in the components of the circular flow of income **and** in the national income. [10]

(b) Discuss why an increase in government spending might have a different impact on the level of GDP in the US compared to Singapore. [15]

5 Investment is the main source of an economy's employment creation and the achievement of its other key macroeconomic policy objectives.

(a) Explain what might cause investment to increase in an economy. [10]

(b) Discuss the extent to which increasing investment is the best approach for Singapore to achieve its key macroeconomic policy objectives. [15]

6 The key to improving the standard of living in an economy is to look beyond the material standard of living. This requires the economy to enhance its sustainable and inclusive growth.

(a) Explain why measures of an economy's standard of living includes but looks beyond the material standard of living. [10]

(b) Discuss the most appropriate approach to enhance sustainable and inclusive growth in order to improve the standard of living of Singapore residents. [15]

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